Benny Woodard

Statement of Opposition to

Case 19-G-0309 – Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service Case

19-G-0310 – Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corporation d/b/a National Grid for Gas Service

June 1, 2021

I write in opposition to the Joint Proposal filed May 14, 2021. I am a 24-year old resident of Brooklyn, a teacher, musician and a concerned community member doing his civic duty to hold those in power accountable.

I am not an accountant, lawyer or industry professional. I have a degree in Music Performance. Upon entering this rate case I did not know what a "revenue requirement" was, nor did I have the slightest idea what the acronyms "EAM," "RDM," or "ROE" meant.

It is essential for you to understand that the severity of the Climate Crisis in which we live and the extent to which our State regulatory bodies have failed to act with due urgency in response has created a situation in which a young musician is spending his evenings and holiday weekends (his *free time*, if you will) reading through hundreds of pages of dense and nearly indecipherable legal documents, attempting to synthesize them and compose an informed, well-substantiated rebuttal because he does not trust the aforementioned regulators (whose salaries are paid by his tax dollars) to put the wellbeing of millions of New Yorkers before corporate profit.

It is essential that you understand that my voice is speaking not just for myself but for tens of thousands of similarly concerned New Yorkers who, for reasons including "*I have a full-time job"* and "*I have a family to take care of*" (gee, imagine that!), were unable to have a seat at the table during this appallingly arcane and exclusionary process. **As an advocate for the health and safety of my community over the financial growth of a multibillion-dollar international corporation, I am doing the work that my regulators are *failing* to do**. And I am not getting paid for it.

At the core of my opposition to this Joint Proposal is a simple and yet deeply unnerving fact: **The system from which this Joint Proposal was created is designed and maintained to protect and enable Corporate Interests at the *expense* of the Public Interest**. In the year 2021, as the Climate Crisis spirals us into an ever-darkening abyss of horrific pain and suffering, the Corporate Interest remains one of finance while the Public Interest has become one of survival. Any regulating body that prioritizes the former over the latter is committing an act of grave and tangible violence**. Department of Public Service: you are failing us.**

I. In reference to the ROE

The Joint Proposal stipulates that the Companies shall receive a return on equity (ROE) of 8.8%. The implication of this figure underlies every investment the Companies make, every report they file, every demand forecast they produce, every piece of testimony they present and every argument they have against transitioning to renewable energy systems. Because of this figure, the expansion of fracked gas infrastructure is both *incentivized* and *rewarded* under our State-regulated corporate utility system. It is irrelevant to the Companies and to this System that the extraction process through which the fracked methane gas that they sell New Yorkers (the "commodity", as the JP refers to it) is so dangerous and polluting that it is illegal in their very service territories. The cost in human life of the continued use of that "commodity" is irrelevant to the Companies because they profit off of it. It could be toxic, poisonous, explosive, cancer-causing, atmosphere-warming gas for all they care. Oh, wait… It is!!!

The Companies do not actually make money selling the commodity, they make money building the gargantuan pipes and trucks and City Gates and Injector Stations and Vaporizers through which that commodity is transported from point A to point B and then by hiring lawyers to plead their case to a gullible (at best) and complicit (at worst) Regulatory commission, one which inevitably gives them the permission they seek to raise bills for millions of everyday New Yorkers and fill shareholder pockets with ROE. The result of this dystopian dance between Corporate Utility and Regulator is a public that is sick and dying. **Department of Public Service: you are failing us**.

A favorite phrase of both the Regulators and the Companies is "safety and reliability." In a System such as this, what does the phrase "safety and reliability" actually mean? Safety and reliability of what, for whom? Safety and reliability of "essential gas infrastructure?" No, no, quite the contrary. This infrastructure was unsafe from day one. It will never be safe, no matter how many hundreds of millions of dollars of LPP replacement investments the Companies make. Building $185 million worth of new, 30-inch diameter pipeline through Environmental Justice communities in Brooklyn will not make it safe. Sending explosive CNG and LNG trucks through city streets will not make it safe. Adding two new "vaporizers" (am I living in a sci-fi movie?) to a fracked gas depot along one of North America's most polluted waterways will not make it safe. **Department of Public Service: you are failing us.**

II. In reference to MRI Phases 1-5

In rebuttal to specific points of the JP, my first demand is simple. **Not one cent of MRI Phases 1-5 shall be eligible for rate recovery**. When over ten thousand public comments are filed against a project, when dozens of elected officials, including the Mayor of New York City, have made public statements against it, and when concerned citizens are so afraid of the harm it will bring to their communities that they lock their bodies to the construction site on

five separate occasions in order to stop it, it is generally a strong indication that a project should be shut down and fundamentally rethought. The fact that Staff has blatantly ignored all of this and given the green light for $126 million of rate recovery (plus ROE, of course) is nothing short of disgraceful. It is irrefutable proof that the System which Staff upholds is designed to protect the Companies and not the Public. **Department of Public Service: you are failing us.**

III. In reference to the Demand Capacity Surcharge Mechanism (DCSM)

I recognize certain elements of the DCSM as concessions and even as genuine attempts by Staff to add some form of climate and emissions accountability to the JP. This is a step in the right direction. However, there are a few important changes that I recommend in order to ensure that the DCSM is, in fact, as the JP says, "intended to ensure that the Companies are taking aggressive actions to promote energy efficiency, demand response and electrification and seeking to offset the need for additional gas supply infrastructure through non-traditional solutions" (Section IV.5.3.2, pg. 48). If it is not actually this, the DCSM reads instead as a dishonest tactic to delay rate recovery for tens of millions of dollars worth of infrastructure projects to the end of the rate term, giving the deceptive appearance to the Commission and to the Public that Staff did a good job keeping rates low.

1. Selection of the Independent Consultant

The JP indicates that the independent consultant responsible for determining whether or not the Long Term Capital Capacity projects subject to the DCSM are needed is "to be selected by Staff" (IV.5.3, pg. 44). It goes on to say, somewhat confusingly, that "Staff and the Companies will commence the consultant selection process immediately upon the submission of this Joint Proposal in these proceedings" (IV.5.3, pg. 44). The former statement indicates that the selection of the independent consultant is up to the sole discretion of the Staff, whereas the latter suggests that the selection process will be collaborative between Staff and the Companies.

In either case, the situation is problematic. In the nature of transparency, **I request that other parties and members of the public be involved in the consultant selection process**. I voice a particularly strong opposition if the second quoted statement above is true and the Companies are allowed to have a say in the selection process, for this would bring up an obvious conflict of interest. We know that it is in the Companies' financial interest to build these projects and have rates recovered for them. As a result, they will have an inherent bias for choosing a consultant who is sympathetic to their interests. For this independent review process to truly be about accountability it is necessary for the consultant to be as nonbiased as possible. Removing the Companies from the process and adding the public will make sure that happens.

The timeline is also a serious issue. If the selection process had indeed commenced "immediately upon the submission of this Joint Proposal," then Staff and the Companies are already hashing it out trying to agree on a consultant as I write this Statement. This is not ok. The Commission has not yet ruled on any part of this JP and the selection process for the independent consultant is an integral element of the agreement. Staff and the Companies wouldn't attempt to begin putting new rates into effect before a Commission ruling so why do they think it's ok to do this? **The process of selecting the independent consultant must only begin after a Commission order adopting the terms of this Joint Proposal, it must involve the public, and the Companies must not have a say in the negotiation.**

The criteria set forth in the JP for selecting the consultant also requires amendment. It states that the consultant "shall be nationally or regionally recognized in the area of gas engineering" (IV.5.3, pg. 44). **It is essential that the consultant must also be an expert in the engineering of alternative energy systems.** Three of the major points of criteria that the assessor must consider when reviewing the Long Term Capital Capacity Projects are centered around alternative energy solutions (ie., "viable alternatives," "All-In Cost of the project vs. All-In Cost of alternatives" and "GHG emissions attributable to the project vs. those of alternatives"). How could the assessor *possibly* be able to make adequate proposals and estimates for alternatives if they are not an expert in alternative energy fields as well as gas?

I restate that the intention of the DCSM **must** be to genuinely hold the Companies accountable to our city and state Climate Laws (ie., Local Law 97 and the CLCPA) and to the overwhelming demands of the public to transition our state to 100% renewable energy infrastructure. Selecting an independent consultant who is well versed in renewable thermal energy systems such as geothermal heat pumps will provide the DPS with an opportunity to put this *legally and morally mandated* transition into practice.

2. The Independent Consultant's process for assessing Long Term Cap. Projects

Section IV.5.3 of the JP lists the criteria that the independent consultant must use to make their determinations about need for Long Term Capital Capacity Projects. The first criterion they must consider is whether or not the Company's existing infrastructure system requires the project in order to meet "reasonably forecast peak demand." It states that this peak demand forecast will be "based on the Companies' most recent forecast available." In order to unpack why this is problematic we must acknowledge that overblown demand forecasts are one of the Companies' tactics for justifying new infrastructure buildouts on which they can receive an ROE. Because they have a direct financial interest in overestimating their supply/demand gap, their forecasts can never be fully trusted. For these reasons**, gas demand forecasts made by third party**

organizations without financial stake in the Companies (such as this 2020 report by Synapse Energy Economics) **must also be considered by the consultant and by the Commission when determining a project's need.**

In reference to the consultant's timeline for completing their assessment, the JP states that they must "complete and file [their] review within 45 days of the filing of the Companies' report" (IV.5.3, pg. 44). **I request that the consultant's deadline for filing their review be increased to 90 days to ensure adequate time for an exhaustive assessment of alternatives with sufficient public engagement.** Also, in keeping with my above request to allow public and intervening party input into the consultant selection process, I recommend an adjustment to the language quoted from the JP directly above to express that, in the event that the consultant has not yet been selected at the time of the Companies' filing of their first report, upon being selected, the consultant will be given 90 days to complete and file their review.

IV. In reference to Future of Heat

Although the steps made toward Climate action and net-zero emissions in this section are important, they serve chiefly to disguise what is most disturbing about this Joint Proposal- the billions of dollars in Capital Investments into new and existing fossil fuel infrastructure that the Companies are making and that Staff is allowing them to recover through the proposed rate hikes. How could these investments possibly be prudent when many of them will become stranded assets within the next few decades? How could these investments possibly be prudent while California is on fire, while the number of multi-billion dollar natural disasters increases every year, while hundreds of thousands of people live in a flood zone in New York? How could these investments possibly be safe, reliable and in the public interest while Brownsville and Greenpoint (two of the Brooklyn neighborhoods around which several of KEDNY's fracked gas expansion projects are centered) have some of the worst air quality levels and highest rates of asthma and cancer in New York City?

My fear is that the Companies' will use the fact that they signed onto these Future of Heat concessions as justification for a vast and manipulative green-washing campaign. This campaign will be systematically designed to obscure the reality that they are raising customer rates through at least 2024 in order to pay for billions of dollars in dirty, polluting fracked gas investments. This is yet another example of how a failure on the part of regulators to demand *true accountability* from the corporate utility can have widespread negative implications. If people are manipulated into believing that National Grid is actually making significant steps toward a renewable energy transition then they will not feel inspired to fight back. As "business as usual" plods on, year after year, GHG emissions will not slow down. Climate Catastrophe waits for no one.

In conclusion, I oppose this Joint Proposal because the framework in which it was created is systematically flawed to favor the corporate utility at the expense of the wellbeing of the Public whom it is supposed to protect. As a result of the inclusion of billions of dollars of investments into new and existing fracked gas infrastructure, the overall affect of this JP is to preserve "business as usual" and to reward Company shareholders extravagantly through the ROE while not just ratepayers but all life forms on planet Earth suffer from continuingly increased GHG emissions. For it is exactly "business as usual" which has hurled us into this Climate Nightmare in the first place. The Department of Public Service's choice to enable this is an act of immense violence, one whose consequences are felt in flesh, blood and acute human suffering.

To the Staff who made this choice, to the Companies who are enriched by my community's pain, and to the members of the Commission who have the power to rule on this Joint Proposal, I leave you with this. Maybe you do not have the benefit of coming of age during the Sixth Mass Extinction like I do. Perhaps you are not plagued with recurring nightmares of heat suffocation and dying of thirst like I am. Perhaps you do not have six-year old students like I do, with whom every interaction you have is tinged with an existential despair and fear for their future. Perhaps you do not have loved ones with asthma or cancer resulting from years of breathing polluted air. Perhaps you do not return to the forest you grew up playing in, the one in which you developed an indescribably profound sense of awe for and love of the interdependent systems of life of which we are a part, and imagine the trees withering and dying, the ground barren and dusty, and the streams choked with sickness and disease. Perhaps these images do not plague your daily existence on Planet Earth as they do mine. Your choices in this rate case matter and will have a profound effect on every one of our futures. It is your duty to begin to make things right.

Respectfully submitted,

Benny Woodard